

CHAPTER 16

Mutual Funds and Other 40-Act Funds

Chapter Summary

Mutual fund managers are talented, but on average none of that skill enriches asset owners. The average mutual fund underperforms the market after fees, investors chase funds with high past returns only to end up with low future returns, and larger mutual funds do worse than smaller funds. While the Investment Company Act of 1940 gives significant protection to ordinary investors, most mutual funds are run for the benefit of mutual fund firms rather than investors.

1. Janus

Those heady, growth-crazed days of the late 1990s! The Internet boom was in full force and, driven by investor mania, stocks with even the flimsiest fundamentals were soaring. Pets.com, with its endearing sock puppet and a balloon in the 1999 Macy's Thanksgiving Day Parade, went public in February 2000. The stock hit a high of \$14 on the first day of trading. From then on, it was a downward spiral; shares fell below \$1 in August and the company declared bankruptcy in November. Webvan Group went public in November 1999 and was valued at over \$1.2 billion at its peak. But the company expanded its grocery delivery service too fast and filed for Chapter 11 protection in July 2001. During the late 1990s, investors were enamored with anything Internet related: just adding ".com" to a company's name resulted in a 75% return in excess of the market in the ten days after the name change—even if the company had no involvement with the Internet prior to the name change.¹

The Janus mutual fund company epitomized the Internet bubble. Janus was hot. Year after year, enticed by outsized returns on high-flying growth stocks, money poured into Janus funds. In 1996, Janus was one of first fund companies to open a website so investors could peruse its funds. In 1997, the manager of the Janus Worldwide Fund, Helen Young Hayes, was named Fund Manager of the Year

¹ See Cooper, Dimitrov, and Rau (2001).